Report Number: ICRR14652

IEG ICR Review
Independent Evaluation Group

1. Project Data:		Date Posted: 04/24/2015		
Country:	Laos			
Project ID:	P108787		Appraisal	Actual
Project Name:	Public Finance Management Strengthening Program	Project Costs (US$M):	8.0	7.7
L/C Number:		Loan/Credit (US$M):		
Sector Board:	Public Sector Governance	Cofinancing (US$M):	8.0	7.7
Cofinanciers:	Swedish International Development Agency (SIDA), Australian Agency for International Development, European Union Delegation, Swiss Development Corporation	Board Approval Date:		11/06/2008
		Closing Date:	10/31/2011	08/31/2013
Sector(s):	General public administration sector (40%); Central government administration (30%); Sub-national government administration (30%)			
Theme(s):	Public expenditure; financial management and procurement (100% - P)			

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2. Project Objectives and Components:

a. Objectives:

According to the Grant Agreement (page 5), “The overall objective of the proposed Trust Fund is to support the Government of Lao People’s Democratic Republic to enhance the public sector effectiveness to the socio-economic development of its population. The purpose of the proposed activities is to improve the effectiveness of public finance management in Lao People’s Democratic Republic through support to the Government’s Public Financial Management Strengthening Program (PFMSP).” This wording is virtually identical in the Program Appraisal Document (PAD, para 14).

While the PAD did not include a results framework, the Restructuring Paper (RP) dated March 21, 2012 formalized the project’s contribution to the government’s program. The RP states that the project will contribute to four out of eight outcomes areas of the PFSMP (page 7 of the RP), which are critical to achieving the goal of the PFM reform. Those four outcome areas include:

- improved macro-fiscal discipline and management,
- improved financial management and control,
- improved revenue management and control, and
- improved sectoral and local allocation and management.

The Review will use the objective in the Grant Agreement and will assess the efficacy of the project on the basis of progress towards the set of four PFM reform outcomes identified in the Restructuring Paper.

b.Were the project objectives/key associated outcome targets revised during implementation?
No

c. Components:

Originally the project had seven components (PAD, Attachment 4), to which one more component G ("External Oversight and Audit") was added during implementation. As the project was designed to provide flexible support for implementation of the Government's own Public Financial Management Strengthening Program (PFMSP), the initial allocation of funding across the components in the PAD was provisional and was expected to change as the project evolved. At the time of project approval, the Bank-executed portion remained unallocated. Significant funding reallocations across the components were introduced through subsequent project restructurings (see below). The ICR provides information only on actual utilization of the Recipient-executed portion of the grant.

The project components were quite uneven in size and importance. Three larger components (A, B, C) received combined allocations of about US$4.5 million or more than 75% out of the total US$5.9 million ultimately allocated to the Recipient-executed portion of project. Five other project components were quite small.

The ICR provides data on actual spending under each component of Recipient-executed Grant in Annex 1 (page 27). Those are based on the numbers in the latest project Implementation Status Report (ISR6) and apparently contain some mistakes as their sum amounts to US$5.7 million instead of actual total disbursements under the Recipient-executed Grant of US$5.2 million. The data on spending by individual component below follow those communicated by the team separately and they are based on the latest project's financial monitoring report as of August 31, 2013.

Component A. Revenue sharing, fiscal planning and budget preparation (Planned costs according to PAD – US$1.11 million, actual – US$0.39 million).
The project provided advisory support, training, and study tours aimed to modernize the core budget regulations and facilitate implementation of respective changes. These included support for drafting the long-term government fiscal strategy, developing a new budget calendar, modification of budget circular and related regulations, and introduction of revenue-sharing arrangements with subnational governments.

Component B. Treasury centralization, budget execution, accounting, and financial reporting (Planned costs – US$2.17 million, actual – US$2.06 million).
The project provided investment and consulting support for centralization of the treasury function, strengthening/expansion of the Government Financial Informational System (GFIS), implementation of the External Debt Management System, and adoption and implementation of the Treasury Single Account (TSA) framework, and also facilitated various policy steps to advance budget consolidation. There was also funding for consulting services to prepare transition to the international public sector accounting standards.

Component C. Revenue policy and administration (Planned costs – US$1.40 million, actual – US$1.55 million).
The project supported a major tax reform through the introduction of Value-Added Tax (VAT), including a new legal framework and information and communication technology (ICT) systems necessary to administer the new tax. Project interventions also provided for a system-wide modernization of tax administration, including introduction of taxpayer identification numbers and strengthening of taxpayer service.

Component D. Local government financial management (Planned costs – US$0.70 million, actual - US$0.13 million). Under this component the Ministry of Finance (MOF) received assistance for preparation of the special program to support capacity building of local governments and considerable volume of public financial management (PFM) training was provided to financial officers of subnational governments.

Component E. Financial legislation and regulatory framework (Planned costs not shown in the PAD, actual – US$0.37 million). This component aimed to support the consultative process linked to the development of new financial legislation. The ICR states (page 14) that these consultations generated the inputs used by the government when drafting various pieces of new legislation, including a VAT law.

Component F. Human resources and capacity development (Planned costs – US$0.98 million, actual – US$0.18 million). Under this component the project supported a limited amount of training to improve English language skills of the MOF staff. Most project-related capacity building was undertaken under other components.

Component G. External budget and financial oversight and audit (This component was added at the 2nd project

restructuring in 2012, the original allocation was US$0.32 million, actual – US$0.23 million). The project financed consulting services for the State Audit Office to support implementation of its Action Plan for Capacity Development and the ICT strategy.

Component P. Project management (Planned costs – US$0.11 million, actual – US$0.27 million). The component intended to provide consulting services and equipment to build capacity in the Project Implementation Unit based in the MOF.

In addition, as communicated by the team, main activities under the Bank-executed portion of the grant included undertaking a tax gap analysis, advisory support for the introduction of the school block grant scheme, and various technical inputs to the preparation of recent Public Expenditure Review and Public Expenditure and Financial Accountability (PEFA) assessments.

d. Comments on Project Cost, Financing, Borrower Contribution, and Dates:

Project cost: Total project costs amounted to US$7.73 million (97% of the appraisal estimate of US$8 million). The costs of the Recipient-executed portion of the project amounted to $5.2 million (80% of the appraisal estimate of US$6.5 million, while the costs of the Bank-executed portion were US$2.5 million (including a Trust Fund administration fee) or 167% of what was planned in the PAD (US$1.5 million), see PAD Attachment 4. The actual costs for individual components reported in the previous section reflect only the Recipient-executed portion of the project..The actual costs for several of the components were quite different from the appraised amounts because of the changes in the government's PFM reform priorities in the course of project implementation. The reasons for a significant reallocation of funds from the Recipient-executed portion to the Bank-executed one remain unclear in the ICR.

Financing: Total project financing made available through donor contributions for both Recipient- and Bank-executed portions of the Grant amounted to US$8.62 million (108% of the appraisal estimate), as reported by the ICR (page 15). The difference is due to the appreciation of national currencies, in which donors made their original commitments, against the US Dollar, and also because of the investment income accrued on the undisbursed portion of the grant. By the time of project closure approximately US$0.89 million of available financing remained undisbursed, was cancelled, and returned to donors. Out of the total cancelled amount, US$0.73 million was from the Recipient-executed portion of the project.

The original grant agreement, covering the Recipient-executed portion of the grant, referred to only US$3.07 million of project financing in line with the original donor contributions to the Multi-Donor Trust Fund (MDTF). The latter amount was increased in two steps, as part of the 3rd (to the US$4.40 million) and 4th (to US$5.90 million) project extensions, as additional donor funding for the MDTF became available.

Borrower Contribution: The PAD did not provide for any Recipient's contribution to the project.

Dates: The project was approved on November 6, 2008 and became effective on January 9, 2009. At appraisal, the project was expected to be completed in about 3 years, but the actual implementation took almost 2 years longer, until end-August 2013. The project was extended four times at the government's requests to provide more time to complete the ongoing project activities, specifically the implementation of large ICT-based management systems and the block financing scheme for schools. Additional rationale for the extensions was related, as follows from the project documents, to some delays in donor contributions to the MDTF.

There were four project restructurings and four extensions, each aimed at significant reallocation of funds across project components. All were the level 2 restructurings, approved by the Country Director, and did not affect the project development objective. Restructurings were approved simultaneously with the 1st, 3rd and 4th project extensions.

The first extension and restructuring were finalized in October 2011 for four months until February 2012. The 1st restructuring introduced a new disbursement category for financing incremental operational costs related to management of project implementation. The second extension was agreed in February 2012 just for one month. This was a technical step to give the Bank and its development partners more time to complete the Amendments to the Administrative Arrangements for the MDTF and thus to prepare a ground for the next, more comprehensive and longer term extension/restructuring. The third extension was granted in March 2012 for one year. This was accompanied by the 2nd project restructuring, which introduced a new project component G ("External Oversight and Audit"), drastically downsized the component F ("HR Development"), and adopted the M&E framework for the project. The final, fourth extension was granted in March 2013 for five months. At that time the 3rd project restructuring was approved to provide a major additional allocation to the Component A ("Budget Planning") in response to availability of additional funding in the MDTF. The project was closed on August 31, 2013.

3. Relevance of Objectives & Design:

a. Relevance of Objectives:

Rating: High

The project objective was fully consistent with successive Bank country assistance/partnership strategies. Building technical capacity to manage reforms was Bank's top priority for the entire period. The current Country Partnership Strategy (FY12-FY16) identified stronger public sector management as a cross-cutting theme. It stated that "the achievement of each of the strategic objectives will require some strengthening of public sector management" (page 19). The previous 2005 Country Assistance Strategy placed strengthening of PFM and service delivery capacity as Objective 2 of the strategy. It emphasized a critical importance of strengthening PFM capacity in Laos, especially in light of the increased natural resource revenues. The Country Assistance Strategy explicitly provided for the preparation of the Public Financial Management Technical Assistance Project by FY07 (page 41).

The project objective was highly relevant to the goals of the Government's own PFMSP, officially adopted in November 2005 as a medium-to-long-term program. In fact, the primary operational objective of the project was to facilitate the implementation of PFMSP, which in turn was the main vehicle to implement the core country's public management policies laid out in a number of government strategic documents, such as National Socio-Economic Development Plans (NSEDP). Moreover, capacity building was considered a priority pillar in both NSEDP 2006–2010 and NSEDP 2011–2015.

b. Relevance of Design:

Rating: Modest

The core of project design was rather standard for the Bank's technical assistance projects of this sort. It was based on a reasonable casual chain between project outputs (various investments in new ICT systems, laws and regulations, advisory services, and training) across the entire budget cycle, which, if properly and timely implemented, would had resulted in improved efficiency of the national budget system (outputs) and ultimately in improved utilization of public resources (outcomes). The weak point in the design logic was serious underestimation of both local capacity and reform commitment needed to implement the broad and very ambitious program of institutional strengthening.

The project objective was stated in very general terms, which makes it hard to monitor and assess. It would be more practical if the team had identified specific project sub-objectives in terms of particular PFM reform targets the project was intended to achieve.

The PAD did not contain an explicit Results framework. The framework was adopted only at the time of the 3rd project extension in March 2012, i.e. more than 3 years after the project became effective in January 2009. The adopted Result framework, based on sub-set of standard PEFA indicators, was quite suitable, as it allowed for adequate tracking changes in the performance of national PFM system in the selected outcome areas.

4. Achievement of Objectives (Efficacy):

Rating: Modest

As discussed in section 2a, IEG will assess the efficacy of the project on the basis of the four sub-objectives of PFM reform outlined in the Restructuring Paper (2012):

Objective 1. Improved Macro-Fiscal Discipline -- Modest
The review measures improvements in macro-fiscal discipline using the PEFA methodology, in particular by looking into the dynamic of deviations between approved and executed annual budgets, changes in the government regulations regarding annual budget preparation (budget calendar), and degree of actual compliance

with such regulatory requirements. In the course of project implementation, there were important improvements in budget stability and credibility, as measured by PEFA indicator PI-1. The aggregate expenditure control became more reliable and deviations between approved and actually executed annual budgets declined. The average deviation over the last 3 years (FY09/10 – FY11/12) was about 7.5%, which is in line with the project target of 5-10% and shows an improvement against the baseline of 13.8%. However, progress towards greater orderliness of the annual budget process remained insufficient (as measured by PI-11). The Government passed a Budget Law implementing decree aimed at improving budget calendar to make it more stable and provide more time for key stakeholders to participate in the budget preparation, but compliance with its requirements, while improved somewhat, remains inadequate. The MOF has not yet introduced a practice of indicative budget ceilings, which was an explicit project target.

Overall PFM performance under this project objective has not improved: the project aimed at reaching the score of 3.0 (equivalent of B score in the PEFA framework) for the average of two PEFA indicators, PI-1 and PI-11, but the actual score achieved at the time of project completion was 2.75 (no change relative the baseline of mid-2009).

Objective 2. Improved financial management and control -- Modest

Good progress was made in budget consolidation, cash and debt management, as measured by PEFA indicator PI-17. The project supported the establishment and operations of the Treasury Single Account (TSA) and consolidation of technical revenue accounts in the budget. The majority of the budget units' accounts at the commercial banks were closed and moved to the National Treasury. Establishment of the zero-balance account arrangements, which has been rolled out to all state-owned commercial banks, helped to reduce the government's borrowing needs. Implementation of the External Debt Management System was completed. But the process of budget consolidation was not completed, as some government revenues remain outside the TSA. The number of central government agencies' accounts with commercial banks, while being significantly reduced, still exceeded 200 in FY2012/13.

There were also some improvements in coverage and timeliness of in-year budget execution reports, as measured by PEFA indicator PI-24. The budget execution reports have been gradually improved, reflecting above mentioned progress in budget consolidation. The Government Financial Information System (GFIS) was significantly strengthened and expanded. It became capable of generating quarterly budget execution reports within four weeks after the quarter ends. The GFIS was deployed in the finance departments of all 43 central ministries and 17 provinces throughout the country.

But the progress was unsatisfactory in the area of quality and timeliness of annual financial statements, as measured by PEFA indicator PI-25. Some developments took place with respect to drafting new regulations that would facilitate transition to the International Public Sector Accounting Standards, but not much implementation has taken place yet.

Overall PFM performance improvement under this project objective was insufficient: the project aimed at reaching the score of 2.5 (equivalent of C+ score in the PEFA framework) for the average of three PEFA indicators, PI-17, P-24 and PI-25, but the actual score achieved at the time of project completion was 2.16 (against the baseline of 1.6).

Objective 3. Improved revenue management and control -- Modest

There was good progress in the area of tax registration, but improvements in tax assessment had been lagging. The project supported major tax reform in Laos, specifically through introduction of the VAT, including supporting ICT systems. The project enabled the proper identification and registration of taxpayers through the Tax ICT system. Significant progress was made in the registration of taxpayers on the basis of unique tax identification numbers. At the end of August 2013, 9,452 taxpayers were registered, 6,700 of whom were VAT payers (against the original target of 4,000 VAT taxpayers). However, the development of modules to support online processing of tax returns and payments remains unfinished. Moreover, there was little progress on tax assessment. Overall progress on PEFA Indicator PI-14 was modest – from C score in 2009 to C+ in 2013 (against the project target of B).

Objective 4. Improved sectoral and local allocation and management -- Modest

The primary target in this outcome area was to improve transparency of inter-governmental fiscal relations, as measured by PEFA indicator PI-8. The government intended to introduce a transparent set of rules and budget allocation norms to guide allocation of funding to subnational governments. In the event, no formal rules were adopted by the time of project closure beyond the education sector. In education some norms were used in allocating the budget across subnational governments, and in addition since FY2011-12 the government has implemented a per student grant formula for financing primary schools. The project also intended to improve local budget management by strengthening subnational PFM capacity. However, as reported by the ICR (page 14), by the time of ICR preparation, no information has been available on actual progress with strengthening PFM capacity at the local level.

The overall score for PEFA indicator PI-8 has improved from D to C, in line with the project target. This was driven primarily by progress along one (out of three) specific dimension of PI-8 indicator that measures the extent of consolidation of subnational fiscal data. Due to successful deployment of GFIS at the provincial level, discussed under the Objective 2 above, the government did secure major advancements in the area of subnational budget consolidation. But little improvement was recorded on two other dimensions of PI-8 that reflect transparency of inter-governmental budgeting.

Overall, reflecting on PFM reform progress across the all four project outcome areas, the project achievements constitute just "preliminary foundations for capacity building in the relevant government institutions" (ICR, para. 51).

5. Efficiency:

Rating: Modest

The ICR (para. 50) does not provide any substantive assessment of project efficiency. No attempt was made to provide a quantitative measure of the degree of efficiency with which the project funds were utilized. However, there are indications of low efficiency. An example is the slow pace of implementation: it took almost five years to complete the project instead of three years expected at the appraisal. It is worth mentioning, as explained by the team, that some key project activities, such as implementation of school block grants, were never completed, despite the fact that the 3rd and 4th project extensions were granted explicitly for their completion. The main reasons for these delays, according to the project documents, derive from the capacity constraints and poor project implementation arrangements. For most of project life, there have been two parallel project managing units with overlapping review and approval procedures, which competed with each other and duplicated each other's efforts (ICR, para. 68). Efficiency was further undermined by the unbalanced structure of project investments during the initial implementation period. As stated in the Mid-term Review (MTR) (para. 30), during the first two years of implementation two thirds of all disbursements were linked to support of training and knowledge exchange activities, while implementation of activities with technical content was significantly lagging.

a. If available, enter the Economic Rate of Return (ERR)/Financial Rate of Return (FRR) at appraisal and the re-estimated value at evaluation:

	Rate Available?	Point Value	Coverage/Scope*
Appraisal	No		
ICR estimate	No		

* Refers to percent of total project cost for which ERR/FRR was calculated.

6. Outcome:

Although the project's objectives were highly relevant, its design did not adequately account for country conditions. An overly complex project with too broad a coverage and excessively ambitious time table did not fit well with local implementation capabilities. While some outputs related to public financial management may provide groundwork for future reform efforts, achievement of all four development objectives was modest. Efficiency is rated modest, reflecting major operational and administrative inefficiencies, and the fact that no attempt was made to thoroughly assess the efficiency with which grant funds were utilized.

a. Outcome Rating: Moderately Unsatisfactory

7. Rationale for Risk to Development Outcome Rating:

Progress toward more modern fiscal management is incomplete and has still to be consolidated. The Government capacity remains weak and insufficient to sustain reforms without external technical assistance (ICR, page 22). Meanwhile, the Government's commitment to the PFM reform has weakened in recent years (ICR, para. 48), and the cancellation of the follow-up technical assistance project (MDTF-2) is a worrisome sign. In the view of the European Union representative, who has participated in project developments, "the sustainability of results achieved … is more than questionable" (ICR, page 45).

There has also been a specific project-related risk associated with upgrading the government's financial information system (GFIS-2), a core element of the PFM reform strategy supported by the project. Late in the course of project implementation, the Government cancelled the agreed plan to finance procurement of the new system from project funds and decided instead to use government resources and another private contractor to implement enhancements to the existing GFIS system (page 13). This put the earlier agreed strategy on hold and created considerable uncertainties regarding future progress with information management of government finance.

a. Risk to Development Outcome Rating : High

8. Assessment of Bank Performance:

a. Quality at entry:

The project intended to address the top priority needs of the client and do it in a way that would ensure continuity of the engagement. It was designed as a follow-up to the earlier Financial Management Capacity Building Project (FMCBP, which closed in 2011) and expected to benefit from rather successful implementation arrangements established under the project. Moreover, the new project's design incorporated some lessons from the FMCBP implementation experience, specifically by focusing TA support on one core ministry (MOF) to reduce costs of inter-agency coordination. The project was part of larger Bank's effort to support implementation of the PFM reform program in Laos, including under the PRSO budget support instrument. The team cooperated closely with a number of development partners during the preparation, and the decision to finance the project through the multi-donor grant fund indicates a high degree of cross-agency collaboration. Preparation was also informed by the findings of PEFA Assessment (2006) and Public Expenditure Tracking Survey (2008), while no specific capacity needs assessment was undertaken.

However, the design had major shortcomings, being over-ambitious in its goals. It aimed, over the original life time of three years, to secure major progress across the whole spectrum of the national PFM system. The literature on PFM reforms provides warnings against attempts to move rapidly to the best international standards of management practice in the low capacity environment. As the experience of the similar Bank operations suggests, under such circumstances, it would be more practical to keep the project design focused on a limited number of results.

Moreover, the project was under-designed: the intention was to have very flexible project arrangements that could be easily modified as the needs associated with the implementation of the Government's program PFMSP became clearer. As a result, the core project interventions were not sufficiently specified in the PAD. This lack of specificity created additional problems in the course of implementation, aggravated by weakening in government's commitment and sub-optimal implementation arrangements (ICR, paras. 46, 48, and 67).

In addition, the specific design shortcomings included (ICR, paras. 20, 24, 65) the following: (i) There was no explicit Results framework in the PAD. It was ultimately approved only in 2012 (3.5 years after the project approval) and (ii) Implementation risks were heavily underestimated, especially with respect to the potential coordination challenges, while overall government capacity to manage a demanding TA project was overestimated.

Quality-at-Entry Rating: Moderately Unsatisfactory

b. Quality of supervision:

The project supervision was quite pro-active but ultimately not very effective. The Bank located the Task

Team Leader in Vientiane to make project-related interactions easier, and it kept the same person for almost the entire project life. The Bank worked closely with MDTF-funding partners as well as with the IMF to coordinate delivery of technical assistance. The team did try to utilize the findings from the latest analytical products, including the Public Expenditure Review (published in June 2011), to better guide the project implementation. In particular, the results of PEFA evaluation (June 2010) were used to design and finally adopt the project's Results framework in March 2012, including the project M&E baseline.

Since 2010 the team has intensified its supervision effort and implementation support to the borrower by conducting monthly review meetings with key counterparts. The pace of project disbursement did improve considerably in the later period of implementation (after June 2012), which was due, as stated by the ICR (para. 58), to the earlier project restructuring effort.

However, the team did not manage to resolve the core project implementation problem related to the unsatisfactory governance arrangements. The Bank issued several sets of recommendations aimed at addressing the governance problem, including during the supervision mission in October 2009 and at the time of MTR in November 2010, but without real traction. Moreover, the overall Bank's implementation strategy in the environment of weak reform ownership (see below) was not very robust. The project implementation remained quite problematic for some time during the period of 2011-12, but, as more donor grant funding became available, the Bank decided to agree with the government's requests for ultimate extension of the project by almost 2 years without insisting on the necessary adjustment to the project governance structure. Furthermore, the project Operational Manual was not very supportive of smooth implementation as it was not well tailored to the realities of low capacity environment (ICR, para. 70). Overall, the four project extensions, while not resulting in a major improvement in project performance, allowed for continuous support of critical reforms, including TSA implementation and VAT introduction, and helped to raise the overall disbursement ratio.

The team was over-optimistic in their assessments of project progress during the implementation. From October 2011 until May 2013 they kept the Satisfactory rating for progress towards development objectives and Moderately Satisfactory rating for implementation progress. This is seen as too positive as the project at that time was facing major implementation problems related to ineffective governance arrangements and erosion in project ownership. Overall, there has been a serious disconnect between project performance rating provided during supervision and the final project Outcome rating given in the ICR as Moderately Unsatisfactory.

The MTR of the project was held in November 2010. At the MTR, the Bank agreed to add the new project component G ("External Oversight") and came to the agreement with the Government with respect to the completion of the M&E framework for the project. The MTR has also recommended to streamline the project implementation arrangements and to strengthen financial management capacity at the implementation unit.

Quality of Supervision Rating :	Moderately Satisfactory
Overall Bank Performance Rating :	Moderately Unsatisfactory

9. Assessment of Borrower Performance:

a. Government Performance:

During the preparation the Government showed sufficient commitment to the PFM reform. The earlier Bank project FMCBP received moderately satisfactory ratings for both Outcome and Government Performance from the IEG. However, the reform ownership gradually eroded after the project was approved. The ultimate manifestation of this shift was the decision by the Ministry of Finance in mid-2009 to modify the earlier agreed governance arrangements (which worked rather well for the earlier project). This resulted in the ineffective institutional structure, with two parallel project managing units, which became a major stumbling block for the entire project implementation (ICR, para. 30). The Government was reluctant to correct this problem despite the repetitive Bank recommendations. Things deteriorated further in 2012 when the Minister of Finance was replaced, and, as explained by the team, the new Minister has shown much less interest in cooperation with the development partners, including the Bank, on the reform agenda. Moreover, at that time the main PFM reform champion in the Government, who was chairing the Project Steering Committee, was promoted from his position of Vice Minister in the MOF to the President of State Audit Office. He was not replaced and the

Steering Committee did not have a Chair since July 2012, i.e. for the last year of project life (para. 32). Project effectiveness was further adversely affected by another Government decision when it decided to commission a private company to implement an ICT system for the Treasury that brought an end to the earlier agreed GFIS-supporting activities under the project (para. 35). The Government also failed to finalize the M&E arrangements in a timely manner for its reform program PFMSP, which delayed the approval of M&E system for the project.

Government Performance Rating: Unsatisfactory

b. Implementing Agency Performance:

The project was managed by the Ministry of Finance through two parallel project managing units reporting to different departments within the MOF. Lack of clarity in responsibilities of these units, aggravated by poor coordination within the MOF, especially between the Treasury and Budget departments, has been a constant obstacle to the project implementation (ICR, pages 42, 44). Moreover, compliance with project management rules was inadequate. There were delays in submission of the interim financial reports and audit reports from the managing units throughout the project's life (para. 41). Overall financial management arrangements were unsatisfactory during the first half of project life (MTR, page 3), but they improved later. See also the Section 11b below.

Implementing Agency Performance Rating : Unsatisfactory

Overall Borrower Performance Rating : Unsatisfactory

10. M&E Design, Implementation, & Utilization:

a. M&E Design:

The M&E arrangements and results framework for the project were broadly described in the PAD, but not specified. According to the PAD, it was expected that the detailed monitoring and evaluation arrangements for the government's own PFM reform program (PFMSP) would be delivered among the first key outputs under the MDTF, and those M&E program arrangements would be then used for MDTF project monitoring. As it turned out, there was continuing delay in finalizing the monitoring arrangements for the PFMSP (the task remained uncompleted even at the time of ICR preparation), reflecting general weakening in the government reform ownership (ICR, page 16). In view of these delays, the Bank developed a M&E system specifically to track the MDTF project activities.

The M&E broad design was based on the utilization of standard PEFA indicators. This proved to be a practical design solution to support regular and time-consistent monitoring of progress with project implementation.

b. M&E Implementation:

The M&E system was finally agreed with the Government and approved in March 2012 as part of the 2nd project restructuring. It was based on the sub-set of relevant PEFA indicators with the baseline values provided by the Bank PEFA report published in June 2010. This means that there was no formal, indicator-based monitoring for the first 3 years of project implementation. Since 2012 there was regular project monitoring according to the agreed framework, but it was affected by the capacity constraints in the project management units (ICR, para. 39).

c. M&E Utilization:

Since 2012 project supervision relied on the agreed M&E framework. According to the project team, six monitoring reports were produced utilizing the agreed set of indicators.

M&E Quality Rating: Modest

11. Other Issues

a. Safeguards:

There were no safeguards policies triggered by this project which was classified as Category "C" for Environmental Assessment purposes.

b. Fiduciary Compliance:

Financial Management. The ICR and supervision reports present several concerns related to the quality of financial management (FM). Specifically, in October 2009 the Bank's mission rated project FM as marginally unsatisfactory due to the unclear definition of roles and responsibilities among implementation units with regard to budget preparation, payment authorities and weak internal control (ICR, para. 28). There were delays in submission of the interim financial reports and audit reports (para. 41). However, the FM quality improved in the later years. As reported in the ISR5, the Bank fiduciary review mission in June, 2012 noted a lot of progress made since the previous review. The mission did not identify any major issue with compliance.

Procurement. The ICR contains no discussion of procurement issues. It is not stated whether there were any cases of misprocurement.

c. Unintended Impacts (positive or negative):

No

d. Other:

12. Ratings:	ICR	IEG Review	Reason for Disagreement/Comments
Outcome:	Moderately Unsatisfactory	Moderately Unsatisfactory	
Risk to Development Outcome:	High	High	
Bank Performance:	Moderately Satisfactory	Moderately Unsatisfactory	There were significant shortcomings in the quality at entry (including over-optimistic design).
Borrower Performance:	Moderately Unsatisfactory	Unsatisfactory	There were major shortcomings in Borrower's performance, including weak coordination and insufficient ownership of PFM reforms.
Quality of ICR:		Unsatisfactory	

NOTES:
- When insufficient information is provided by the Bank for IEG to arrive at a clear rating, IEG will downgrade

the relevant ratings as warranted beginning July 1, 2006.
- The "Reason for Disagreement/Comments" column could cross-reference other sections of the ICR Review, as appropriate.

13. Lessons:

The ICR contains a number of lessons from this project. IEG broadly supports several of these suggestions, many of which have been commonly brought up in the course of evaluations of this kind of project. This includes the importance of an effective project steering committee, and an operational manual that adequately reflects local implementation capabilities. IEG believes that the following lesson taken from the ICR (with some adaptation of language) is particularly important and needs to be highlighted:

- Accurate assessment of the Recipient's capacity and, more generally, of the project-related institutional environment is crucial for designing a capacity-building project. In a low capacity environment the institutional arrangements are generally fragile and simple re-use of institutional solutions, which functioned well for the earlier projects, would not guarantee a continuous success. Undertaking a project-specific capacity needs assessment could be a useful tool of risk mitigation.

In addition, IEG supports the following lesson:

- In cases when there has been a long-standing issue with project governance arrangements and lack of the recipient's cooperation to resolve the problem, the Bank needs to be prepared to be more proactive in pushing for a satisfactory resolution, including downgrading the implementation rating and indicating to the authorities readiness to cancel the project. Any project extension in such situations should be made conditional on the recipient's performance in line with the agreements made.

14. Assessment Recommended? ○ Yes ● No

15. Comments on Quality of ICR:

ICR suffers from significant shortcomings. First, there is not enough clarity about core project characteristics, including what specific activities were funded under the project. Second, there is no sufficient clarity and candor in the discussion of political economy of the project: what were the reasons for erosion in government ownership for PFM reforms, and what was the source of government resistance to Bank's attempts to resolve inefficiency in the project's governance arrangements? Third, there is no clear rational in the ICR's project ratings. For instance in assessment of Bank performance in paras. 57-58 the ICR provides only positive comments, which would correspond to fully Satisfactory rating, while the ICR gives only moderately satisfactory rating there. Fourth, presentation on major project events, such as a rational for various project restructurings, often remains imprecise. Similarly, the reasons for the long delay with the approval of project results framework should be explained in a clearer way. Fifth, the main text of ICR is misleading with respect to dimensions used for efficacy assessment: instead of the four core PDO indicators, the discussion of efficacy is based on seven intermediary indicators from the project Result framework. Finally, there is a large number of factual inaccuracies in the ICR, including project key dates and numbers. For instance, the dates of project approval and some restructuring are reported incorrectly, as well as project cost breakdown by component (Annex 1). The data on total project costs reflect only the costs under the Recipient-executed portion of the project.

a.Quality of ICR Rating: Unsatisfactory